QUARTERLY INVESTOR REPORT

Kestrel Logistics Center | Kansas City, MO

Investment	Kestrel Logistics Center
Quarter	1Q 2021
Report Date	October 7, 2023
Sponsor	Vireo Income Properties
Occupancy	96.6%

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 36' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Distributions to investors for the quarter were paid at an annualized rate of 4.9% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 13.3% with an equity multiple of 1.16x over the hold period.

The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Projected levered IRR is 9.0% with an equity multiple of 1.25x over the hold period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 2' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $7 per square foot triple net with 3% annual escalations. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Property Operations

The facility is located 6 miles from the interstate with access to a regional intermodal terminal. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members. Service requests are tracked through a work-order system with an average completion time of 12 hours. In-place rents average $7 per square foot triple net with 3% annual escalations. The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day.

Investor Distributions

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. The building offers 36' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. In-place rents average $7 per square foot triple net with 3% annual escalations. The facility is located 1 miles from the interstate with access to a regional intermodal terminal.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $7 per square foot triple net with 3% annual escalations. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Collections for the period were 89.3% of billed charges, with bad debt of 7.0% of gross potential income. In-place rents average $7 per square foot triple net with 3% annual escalations. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. Service requests are tracked through a work-order system with an average completion time of 35 hours.

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Investor Distributions

In-place rents average $7 per square foot triple net with 3% annual escalations. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 9' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 12.8% with an equity multiple of 1.45x over the hold period.

In-place rents average $7 per square foot triple net with 3% annual escalations. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Projected levered IRR is 13.8% with an equity multiple of 1.47x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Management Commentary

Collections for the period were 92.2% of billed charges, with bad debt of 3.7% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members. In-place rents average $7 per square foot triple net with 3% annual escalations. The building offers 37' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 47' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 6 miles from the interstate with access to a regional intermodal terminal.

Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Projected levered IRR is 12.4% with an equity multiple of 1.12x over the hold period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $7 per square foot triple net with 3% annual escalations. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members. In-place rents average $7 per square foot triple net with 3% annual escalations. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Service requests are tracked through a work-order system with an average completion time of 19 hours. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. In-place rents average $7 per square foot triple net with 3% annual escalations. Collections for the period were 96.4% of billed charges, with bad debt of 4.9% of gross potential income.

Risk Considerations

The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The facility is located 3 miles from the interstate with access to a regional intermodal terminal.

Projected levered IRR is 6.0% with an equity multiple of 1.23x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Leasing and Marketing

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Storefront glazing	Site	10/20/24	Q2 2025	$344,000	$194,044	Bidding
Landscape / irrigation	Interior	08/18/26	Q2 2027	$712,000	$563,053	Complete
ADA compliance	Energy	03/01/25	Q2 2026	$115,000	$106,375	Complete
Parking lot resurfacing	Building	05/08/24	Q4 2025	$258,000	$124,028	Complete
Fire alarm panel upgrade	Energy	02/23/26	Q4 2025	$421,000	$162,589	In progress
Fence replacement	Interior	10/26/24	Q2 2025	$15,000	$4,831	Approved
Security camera upgrade	Site	08/23/23	Q4 2025	$690,000	$471,528	Complete
Exterior paint	Building	07/23/24	Q1 2025	$244,000	$200,991	Bidding
Landscape / irrigation	Life Safety	09/10/23	Q3 2025	$329,000	$300,959	Deferred
Door hardware	Building	06/24/23	Q4 2026	$154,000	$36,115	Complete
Water heater replacement	Life Safety	08/07/26	Q1 2025	$786,000	$292,348	In progress
ADA compliance	Building	07/09/25	Q3 2026	$631,000	$285,586	In progress
Landscape / irrigation	Interior	05/28/24	Q2 2025	$384,000	$117,635	Deferred
ADA compliance	Site	10/28/23	Q3 2027	$267,000	$87,772	Complete
Exterior paint	Building	05/15/23	Q3 2027	$582,000	$283,525	In progress
Security camera upgrade	Interior	09/20/26	Q4 2027	$463,000	$283,982	Complete
Signage / monument	Energy	05/31/26	Q1 2026	$386,000	$369,637	Approved
Security camera upgrade	Site	06/08/24	Q3 2026	$395,000	$411,759	In progress
Elevator modernization	Site	05/25/25	Q3 2026	$841,000	$876,132	Deferred
ADA compliance	Site	11/27/26	Q3 2026	$368,000	$187,510	In progress
Amenity renovation	Site	01/22/24	Q1 2025	$716,000	$433,359	Complete
ADA compliance	Life Safety	02/10/23	Q2 2027	$749,000	$681,468	Bidding
Sewer line repair	Interior	03/21/23	Q1 2026	$748,000	$256,177	Bidding
Elevator modernization	Site	01/16/25	Q4 2025	$624,000	$490,480	Deferred
Elevator modernization	Energy	01/24/24	Q1 2025	$363,000	$192,410	In progress
Parking lot resurfacing	Building	12/23/26	Q1 2026	$854,000	$549,323	Approved
LED lighting retrofit	Site	01/07/24	Q3 2027	$79,000	$82,494	Complete
Door hardware	Building	01/30/24	Q1 2027	$426,000	$355,450	In progress
HVAC replacement	Interior	02/05/26	Q4 2025	$36,000	$36,995	In progress
Landscape / irrigation	Energy	07/21/23	Q1 2026	$470,000	$42,393	Bidding
Elevator modernization	Building	06/20/25	Q4 2026	$533,000	$167,272	In progress
Amenity renovation	Life Safety	05/08/26	Q1 2026	$271,000	$13,334	Complete
Fence replacement	Energy	11/13/26	Q3 2027	$735,000	$197,055	In progress
Security camera upgrade	Interior	04/25/23	Q4 2027	$198,000	$140,225	Approved
Pool resurfacing	Energy	11/18/25	Q2 2026	$29,000	$106	Deferred
Elevator modernization	Life Safety	07/31/24	Q1 2027	$173,000	$22,427	Deferred
ADA compliance	Interior	06/19/24	Q3 2026	$280,000	$284,121	Deferred
ADA compliance	Life Safety	08/28/24	Q4 2025	$405,000	$407,773	Deferred
LED lighting retrofit	Energy	01/31/25	Q4 2027	$474,000	$340,634	In progress
Landscape / irrigation	Interior	01/07/25	Q3 2025	$420,000	$218,457	Approved
Lobby renovation	Building	07/21/23	Q2 2026	$479,000	$250,377	Complete

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Valuation Discussion

In-place rents average $7 per square foot triple net with 3% annual escalations. The going-in capitalization rate of 7.84% reflects the in-place income and the stabilized occupancy assumption. The building offers 9' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Effective gross income for the trailing period was $461,000, representing a 9.4% increase over the prior year.

Debt service coverage ratio was 6.82x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. Operating expenses totaled $228,000 or approximately 43.59 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.03% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses.

Submarket Analysis

Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 5.24% and 5.24%. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 8.8% population growth over the last five years. Rent growth in the submarket has averaged 6.5% annually over the past 12 years. The Kansas City Industrial market has experienced absorption of 3100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Industrial product stands at 12.1%, down from 5.6% two years ago.

Market vacancy for comparable Industrial product stands at 3.7%, down from 5.5% two years ago. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 6.58% and 6.58%. Employment growth is led by healthcare, logistics, education and professional services sectors. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Financial Analysis

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. The going-in capitalization rate of 5.21% reflects the in-place income and the stabilized occupancy assumption. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Effective gross income for the trailing period was $479,000, representing a 10.0% increase over the prior year.

Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $440,000, representing a 12.6% increase over the prior year. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. In-place rents average $7 per square foot triple net with 3% annual escalations.

Supply and Demand

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 7.8% population growth over the last five years. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 8.14% and 8.14%. Median household income within a 5-mile radius of the property is approximately $217,000 and has grown 10.4% annually. In-place rents average $7 per square foot triple net with 3% annual escalations. Market vacancy for comparable Industrial product stands at 6.0%, down from 6.3% two years ago.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 5.0% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 7.17% and 7.17%. Rent growth in the submarket has averaged 3.1% annually over the past 3 years. Market vacancy for comparable Industrial product stands at 11.5%, down from 4.9% two years ago.

Financial Analysis

The building offers 24' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. In-place rents average $7 per square foot triple net with 3% annual escalations. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Operating expenses totaled $462,000 or approximately 8.89 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$41,907	$44,526	$45,126	$3,219	7.7%	$9,025.16
5010 Loss to Lease	$91,367	$96,039	$100,188	$8,822	9.7%	$20,037.68
5020 Vacancy Loss	$42,423	$42,033	$43,104	$680	1.6%	$8,620.73
5030 Concessions	$94,672	$99,817	$100,455	$5,783	6.1%	$20,091.01
5040 Bad Debt	$22,525	$24,241	$25,898	$3,373	15.0%	$5,179.54
5050 Late Fees	$21,953	$23,414	$23,996	$2,043	9.3%	$4,799.18
5060 Utility Reimbursements	$43,231	$40,746	$42,070	-$1,161	-2.7%	$8,413.99
5070 Parking Income	$42,273	$40,714	$43,246	$974	2.3%	$8,649.26
5080 Application Fees	$78,904	$76,008	$77,722	-$1,182	-1.5%	$15,544.35
5090 Pet Rent	$52,701	$48,986	$51,466	-$1,235	-2.3%	$10,293.28
5100 Laundry Income	$104,164	$110,996	$118,339	$14,174	13.6%	$23,667.75
5110 Cable/Internet Revenue	$9,406	$9,004	$9,537	$132	1.4%	$1,907.44
5120 CAM Reimbursements	$13,355	$13,159	$13,185	-$171	-1.3%	$2,636.92
5130 Tax Reimbursements	$101,743	$102,522	$106,250	$4,507	4.4%	$21,250.03
5140 Insurance Reimbursements	$11,149	$11,188	$11,667	$518	4.6%	$2,333.46
5150 Percentage Rent	$12,720	$13,181	$13,185	$464	3.7%	$2,636.96
5160 Misc. Income	$49,131	$51,074	$52,080	$2,949	6.0%	$10,415.99
5170 Payroll - Management	$58,806	$57,060	$57,842	-$963	-1.6%	$11,568.46
5180 Payroll - Leasing	$47,085	$49,068	$50,092	$3,007	6.4%	$10,018.46
5190 Payroll - Maintenance	$47,482	$45,537	$46,154	-$1,327	-2.8%	$9,230.87
5200 Payroll Taxes & Benefits	$57,053	$60,771	$62,803	$5,750	10.1%	$12,560.64
5210 Repairs - Plumbing	$24,038	$25,503	$26,670	$2,632	10.9%	$5,333.99
5220 Repairs - HVAC	$34,161	$32,455	$34,597	$436	1.3%	$6,919.33
5230 Repairs - Electrical	$10,235	$10,635	$10,808	$573	5.6%	$2,161.57
5240 Repairs - Appliances	$17,308	$18,070	$19,213	$1,905	11.0%	$3,842.53
5250 Painting & Decorating	$36,862	$36,982	$37,908	$1,046	2.8%	$7,581.53
5260 Flooring	$51,112	$51,580	$52,441	$1,330	2.6%	$10,488.27
5270 Make-Ready / Turnover	$87,432	$88,940	$91,757	$4,325	4.9%	$18,351.37
5280 Landscaping Contract	$59,807	$60,597	$62,158	$2,351	3.9%	$12,431.59
5290 Snow Removal	$10,895	$10,218	$10,699	-$196	-1.8%	$2,139.73
5300 Janitorial	$73,552	$69,926	$73,459	-$93	-0.1%	$14,691.89
5310 Pest Control	$49,856	$49,515	$52,145	$2,288	4.6%	$10,428.90
5320 Trash Removal	$93,505	$94,227	$94,368	$863	0.9%	$18,873.65
5330 Elevator Contract	$53,148	$54,248	$57,840	$4,692	8.8%	$11,568.01
5340 Fire & Life Safety	$24,548	$23,383	$24,586	$38	0.2%	$4,917.21
5350 Security	$78,354	$79,293	$81,982	$3,628	4.6%	$16,396.45
5360 Electricity - Common	$82,913	$85,035	$89,700	$6,787	8.2%	$17,939.93
5370 Gas - Common	$86,473	$80,261	$82,261	-$4,212	-4.9%	$16,452.23
5380 Water & Sewer	$36,649	$34,638	$36,961	$312	0.9%	$7,392.18
5390 Telephone/Internet	$92,875	$86,437	$89,396	-$3,479	-3.7%	$17,879.26
5400 Advertising	$90,384	$83,350	$85,425	-$4,960	-5.5%	$17,084.91

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Business Plan Progress

Projected levered IRR is 2.4% with an equity multiple of 1.11x over the hold period. The building offers 31' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Distributions to investors for the quarter were paid at an annualized rate of 5.1% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The facility is located 9 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Projected levered IRR is 10.8% with an equity multiple of 1.10x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. In-place rents average $7 per square foot triple net with 3% annual escalations. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.4% of billed charges, with bad debt of 4.6% of gross potential income. The building offers 12' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Service requests are tracked through a work-order system with an average completion time of 12 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Investment Overview

In-place rents average $7 per square foot triple net with 3% annual escalations. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 16' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital. The facility is located 5 miles from the interstate with access to a regional intermodal terminal. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Property Operations

Collections for the period were 93.4% of billed charges, with bad debt of 4.1% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building offers 27' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. In-place rents average $7 per square foot triple net with 3% annual escalations. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Investment Overview

In-place rents average $7 per square foot triple net with 3% annual escalations. The building offers 33' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Site	08/20/24	Q4 2026	$129,000	$119,796	In progress
LED lighting retrofit	Life Safety	03/12/26	Q2 2027	$312,000	$318,806	In progress
Parking lot resurfacing	Interior	08/30/24	Q1 2026	$28,000	$9,330	Bidding
Landscape / irrigation	Site	03/27/26	Q3 2026	$681,000	$286,269	In progress
LED lighting retrofit	Energy	12/02/25	Q1 2027	$523,000	$262,347	Approved
Fire alarm panel upgrade	Interior	01/07/24	Q2 2025	$358,000	$141,462	Bidding
Parking lot resurfacing	Building	02/14/26	Q3 2027	$745,000	$464,826	In progress
Fence replacement	Life Safety	10/23/25	Q2 2026	$72,000	$60,473	Approved
Roof replacement - Bldg A	Building	07/17/23	Q2 2025	$693,000	$443,750	Approved
Elevator modernization	Energy	03/19/25	Q1 2027	$34,000	$17,315	In progress
Unit interior upgrades	Interior	04/19/26	Q2 2026	$227,000	$177,727	Bidding
Elevator modernization	Building	11/13/23	Q3 2027	$425,000	$355,651	Deferred
Exterior paint	Interior	01/22/25	Q3 2027	$237,000	$35,200	Deferred
Elevator modernization	Life Safety	04/18/24	Q1 2027	$325,000	$49,702	Complete
Parking lot resurfacing	Site	03/10/25	Q3 2026	$200,000	$148,495	Complete
Elevator modernization	Life Safety	07/26/26	Q3 2026	$174,000	$147,492	In progress
ADA compliance	Life Safety	07/11/26	Q4 2027	$726,000	$98,553	Deferred
Landscape / irrigation	Energy	10/30/23	Q2 2025	$9,000	$3,897	Complete
Exterior paint	Life Safety	08/28/24	Q3 2025	$646,000	$561,557	Complete
Amenity renovation	Energy	01/19/25	Q4 2026	$715,000	$262,245	Complete
Elevator modernization	Energy	02/22/26	Q3 2025	$744,000	$58,798	Deferred
Elevator modernization	Interior	05/23/24	Q1 2025	$461,000	$225,725	In progress
Amenity renovation	Interior	02/11/26	Q1 2026	$271,000	$155,034	Approved
Security camera upgrade	Building	09/18/23	Q4 2026	$302,000	$78,556	Deferred
Pool resurfacing	Energy	02/07/23	Q1 2027	$703,000	$407,272	Complete
Pool resurfacing	Building	02/02/24	Q1 2027	$134,000	$93,084	Approved
Water heater replacement	Interior	11/26/24	Q1 2025	$128,000	$55,092	Bidding
Signage / monument	Site	08/06/26	Q4 2025	$400,000	$361,445	Approved
Unit interior upgrades	Building	08/12/24	Q1 2027	$612,000	$571,687	Approved
HVAC replacement	Life Safety	07/05/25	Q3 2027	$657,000	$440,902	In progress
ADA compliance	Site	09/22/26	Q4 2025	$706,000	$487,249	Complete
HVAC replacement	Life Safety	05/12/26	Q1 2025	$557,000	$163,848	In progress
Unit interior upgrades	Energy	11/16/25	Q2 2025	$300,000	$147,582	In progress
Pool resurfacing	Energy	06/02/23	Q2 2026	$246,000	$246,610	Approved
Security camera upgrade	Site	01/27/25	Q1 2025	$53,000	$22,385	Approved
Storefront glazing	Site	07/03/26	Q3 2025	$754,000	$78,971	Bidding
Lobby renovation	Energy	04/28/25	Q4 2027	$455,000	$143,264	In progress
HVAC replacement	Energy	03/02/23	Q2 2027	$67,000	$21,508	In progress
Signage / monument	Life Safety	12/02/24	Q1 2027	$654,000	$677,244	Approved
Sewer line repair	Site	03/06/24	Q4 2026	$838,000	$402,656	Deferred
LED lighting retrofit	Life Safety	12/18/23	Q2 2025	$592,000	$110,535	In progress

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Income and Expense Review

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The going-in capitalization rate of 7.94% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. In-place rents average $7 per square foot triple net with 3% annual escalations. Effective gross income for the trailing period was $177,000, representing a 8.8% increase over the prior year.

The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Effective gross income for the trailing period was $228,000, representing a 10.9% increase over the prior year. In-place rents average $7 per square foot triple net with 3% annual escalations. Debt service coverage ratio was 5.97x on a trailing basis against a covenant minimum of 1.20x.

Submarket Analysis

Median household income within a 9-mile radius of the property is approximately $231,000 and has grown 9.0% annually. Employment growth is led by healthcare, logistics, education and professional services sectors. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Market vacancy for comparable Industrial product stands at 11.8%, down from 3.2% two years ago. In-place rents average $7 per square foot triple net with 3% annual escalations. The building offers 47' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Market vacancy for comparable Industrial product stands at 8.4%, down from 4.6% two years ago. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 9.7% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 9-mile radius of the property is approximately $456,000 and has grown 13.1% annually.

Income and Expense Review

Effective gross income for the trailing period was $101,000, representing a 2.7% increase over the prior year. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Debt service coverage ratio was 8.17x on a trailing basis against a covenant minimum of 1.20x. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period.

Operating expenses totaled $315,000 or approximately 28.95 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. The building offers 13' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Effective gross income for the trailing period was $46,000, representing a 10.5% increase over the prior year. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. The facility is located 3 miles from the interstate with access to a regional intermodal terminal.

Demographics and Employment

The building offers 31' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The Kansas City Industrial market has experienced absorption of 3500 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The facility is located 3 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 11.5% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Investor demand for Industrial assets in Kansas City remains strong with recent trades at capitalization rates between 6.08% and 6.08%. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The Kansas City Industrial market has experienced absorption of 900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Kestrel Logistics Center is located in Kansas City, MO, a market that has recorded 12.4% population growth over the last five years.

Operating Performance

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Operating expenses totaled $315,000 or approximately 19.19 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.48x on a trailing basis against a covenant minimum of 1.20x.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$18,184	$17,406	$17,436	-$749	-4.1%	$3,487.10
5420 Office Supplies	$80,838	$84,764	$85,783	$4,945	6.1%	$17,156.67
5430 Legal & Professional	$34,408	$32,638	$33,645	-$762	-2.2%	$6,729.06
5440 Accounting & Audit	$52,392	$50,907	$52,795	$403	0.8%	$10,559.07
5450 Licenses & Permits	$94,807	$96,690	$96,907	$2,099	2.2%	$19,381.30
5460 Management Fee	$77,004	$74,235	$75,596	-$1,408	-1.8%	$15,119.24
5470 Property Insurance	$69,601	$68,402	$73,161	$3,560	5.1%	$14,632.14
5480 Real Estate Taxes	$69,386	$70,148	$72,670	$3,284	4.7%	$14,533.95
5490 Asset Management Fee	$45,754	$44,414	$45,856	$102	0.2%	$9,171.27
5500 Replacement Reserves	$69,903	$70,916	$72,141	$2,238	3.2%	$14,428.25
5510 Roof Repairs	$67,392	$66,464	$69,860	$2,468	3.7%	$13,971.97
5520 Parking Lot Repairs	$7,510	$7,304	$7,798	$288	3.8%	$1,559.51
5530 Signage	$96,334	$89,730	$94,784	-$1,550	-1.6%	$18,956.88
5540 Tenant Improvements	$42,958	$45,968	$46,710	$3,753	8.7%	$9,342.07
5550 Leasing Commissions	$59,497	$55,080	$58,832	-$664	-1.1%	$11,766.44
5000 Gross Potential Rent	$18,981	$20,080	$21,206	$2,226	11.7%	$4,241.28
5010 Loss to Lease	$47,630	$49,596	$51,895	$4,266	9.0%	$10,379.06
5020 Vacancy Loss	$52,863	$54,922	$58,128	$5,265	10.0%	$11,625.51
5030 Concessions	$6,393	$6,026	$6,339	-$54	-0.8%	$1,267.90
5040 Bad Debt	$5,413	$5,567	$5,585	$172	3.2%	$1,116.96
5050 Late Fees	$32,016	$32,236	$32,472	$456	1.4%	$6,494.45
5060 Utility Reimbursements	$16,942	$17,417	$17,510	$568	3.4%	$3,502.02
5070 Parking Income	$59,954	$63,630	$65,663	$5,709	9.5%	$13,132.62
5080 Application Fees	$58,143	$55,132	$55,671	-$2,472	-4.3%	$11,134.21
5090 Pet Rent	$71,786	$69,887	$73,110	$1,324	1.8%	$14,622.10
5100 Laundry Income	$49,030	$49,518	$50,486	$1,456	3.0%	$10,097.24
5110 Cable/Internet Revenue	$89,695	$96,073	$100,063	$10,369	11.6%	$20,012.67
5120 CAM Reimbursements	$58,295	$56,946	$59,071	$776	1.3%	$11,814.17
5130 Tax Reimbursements	$59,041	$60,689	$61,787	$2,746	4.7%	$12,357.32
5140 Insurance Reimbursements	$64,625	$64,927	$68,073	$3,448	5.3%	$13,614.61
5150 Percentage Rent	$54,315	$58,582	$59,264	$4,950	9.1%	$11,852.82
5160 Misc. Income	$89,196	$82,338	$82,527	-$6,669	-7.5%	$16,505.39
5170 Payroll - Management	$43,843	$41,791	$43,911	$68	0.2%	$8,782.21
5180 Payroll - Leasing	$89,033	$83,471	$89,211	$179	0.2%	$17,842.28
5190 Payroll - Maintenance	$77,726	$79,528	$79,901	$2,176	2.8%	$15,980.28
5200 Payroll Taxes & Benefits	$34,447	$35,037	$36,361	$1,914	5.6%	$7,272.18
5210 Repairs - Plumbing	$14,859	$15,163	$15,865	$1,007	6.8%	$3,173.03
5220 Repairs - HVAC	$66,305	$71,521	$71,649	$5,344	8.1%	$14,329.86
5230 Repairs - Electrical	$35,103	$32,801	$35,078	-$26	-0.1%	$7,015.56
5240 Repairs - Appliances	$39,941	$37,079	$38,621	-$1,321	-3.3%	$7,724.12
5250 Painting & Decorating	$80,960	$74,788	$75,193	-$5,768	-7.1%	$15,038.50

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Investment Overview

The building offers 44' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Distributions to investors for the quarter were paid at an annualized rate of 3.3% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

The building offers 38' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Projected levered IRR is 11.1% with an equity multiple of 1.32x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.8% on contributed capital. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. In-place rents average $7 per square foot triple net with 3% annual escalations. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Service requests are tracked through a work-order system with an average completion time of 34 hours. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Collections for the period were 91.2% of billed charges, with bad debt of 8.0% of gross potential income. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Business Plan Progress

Projected levered IRR is 2.3% with an equity multiple of 1.45x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The building offers 3' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 12.7% with an equity multiple of 1.34x over the hold period.

Management Commentary

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The building offers 29' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 23 additional team members. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Service requests are tracked through a work-order system with an average completion time of 45 hours. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.0% of billed charges, with bad debt of 3.0% of gross potential income.

Investor Distributions

The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Projected levered IRR is 7.9% with an equity multiple of 1.41x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. In-place rents average $7 per square foot triple net with 3% annual escalations. Distributions to investors for the quarter were paid at an annualized rate of 6.2% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building offers 22' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 3.0% with an equity multiple of 1.21x over the hold period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $7 per square foot triple net with 3% annual escalations.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fire alarm panel upgrade	Energy	09/24/26	Q3 2025	$579,000	$70,024	Approved
Amenity renovation	Interior	12/17/25	Q4 2025	$39,000	$36,680	Bidding
Exterior paint	Site	12/03/24	Q4 2026	$459,000	$436,646	In progress
Signage / monument	Site	05/08/26	Q4 2025	$384,000	$387,312	Complete
Roof replacement - Bldg B	Life Safety	04/10/25	Q2 2026	$134,000	$74,510	Complete
Storefront glazing	Site	12/09/26	Q2 2025	$29,000	$7,079	Complete
Signage / monument	Building	09/30/23	Q3 2026	$359,000	$228,317	Complete
Storefront glazing	Interior	06/27/23	Q2 2025	$640,000	$544,135	Approved
LED lighting retrofit	Energy	12/22/25	Q4 2026	$509,000	$450,232	Deferred
Lobby renovation	Energy	01/19/24	Q1 2026	$121,000	$67,668	Approved
HVAC replacement	Building	09/01/23	Q2 2027	$573,000	$421,498	Complete
Roof replacement - Bldg D	Site	06/01/25	Q1 2026	$592,000	$359,604	Complete
Amenity renovation	Building	07/05/26	Q2 2026	$356,000	$347,093	Approved
Landscape / irrigation	Building	09/20/23	Q3 2025	$656,000	$542,193	Complete
Lobby renovation	Building	12/30/24	Q3 2025	$705,000	$122,499	Deferred
Parking lot resurfacing	Building	08/09/25	Q3 2025	$132,000	$90,706	Deferred
Unit interior upgrades	Energy	09/27/24	Q4 2025	$249,000	$247,982	Approved
Fence replacement	Life Safety	12/07/26	Q4 2027	$781,000	$17,634	Bidding
Sewer line repair	Life Safety	12/09/23	Q1 2027	$650,000	$559,992	Complete
Amenity renovation	Interior	09/05/23	Q1 2025	$390,000	$221,786	Approved
Landscape / irrigation	Energy	02/12/25	Q1 2026	$556,000	$326,811	Bidding
Fire alarm panel upgrade	Interior	12/21/25	Q1 2026	$53,000	$2,025	Bidding
HVAC replacement	Energy	11/24/25	Q2 2026	$583,000	$584,928	Complete
Lobby renovation	Building	05/08/26	Q3 2026	$782,000	$177,665	Deferred
Security camera upgrade	Life Safety	07/05/23	Q1 2025	$842,000	$17,425	Deferred
LED lighting retrofit	Life Safety	09/17/26	Q3 2027	$187,000	$159,629	In progress
Lobby renovation	Building	04/18/26	Q4 2025	$779,000	$603,065	Complete
Sewer line repair	Interior	02/09/24	Q4 2027	$784,000	$302,166	Bidding
Fence replacement	Energy	06/28/23	Q4 2025	$238,000	$140,426	Approved
Fire alarm panel upgrade	Life Safety	06/01/26	Q1 2026	$80,000	$3,993	Approved
LED lighting retrofit	Site	01/06/25	Q2 2025	$844,000	$89,925	Approved
HVAC replacement	Building	04/02/23	Q3 2027	$27,000	$22,835	Complete
Signage / monument	Building	07/29/24	Q1 2026	$778,000	$414,524	Approved
Water heater replacement	Life Safety	01/24/24	Q3 2027	$627,000	$518,436	In progress
Signage / monument	Energy	03/04/26	Q4 2026	$709,000	$294,003	Deferred
HVAC replacement	Energy	05/20/25	Q2 2027	$819,000	$729,659	Approved
Exterior paint	Building	04/12/25	Q3 2026	$80,000	$23,791	Bidding
Storefront glazing	Energy	12/26/26	Q3 2027	$265,000	$94,696	Bidding
Lobby renovation	Building	04/28/23	Q3 2025	$454,000	$228,679	In progress
Security camera upgrade	Building	10/11/24	Q2 2026	$411,000	$379,929	Complete

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Income and Expense Review

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Debt service coverage ratio was 6.95x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $206,000, representing a 3.0% increase over the prior year. The building offers 24' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $7 per square foot triple net with 3% annual escalations.

Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The going-in capitalization rate of 7.57% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.64x on a trailing basis against a covenant minimum of 1.20x. In-place rents average $7 per square foot triple net with 3% annual escalations.

Submarket Analysis

Market vacancy for comparable Industrial product stands at 10.3%, down from 6.3% two years ago. The building offers 19' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. Median household income within a 7-mile radius of the property is approximately $290,000 and has grown 11.4% annually. The Kansas City Industrial market has experienced absorption of 400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The facility is located 8 miles from the interstate with access to a regional intermodal terminal.

Rent growth in the submarket has averaged 7.3% annually over the past 5 years. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The facility is located 3 miles from the interstate with access to a regional intermodal terminal. Employment growth is led by healthcare, logistics, education and professional services sectors.

Financial Analysis

The going-in capitalization rate of 5.05% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.00x on a trailing basis against a covenant minimum of 1.20x. The building offers 43' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

In-place rents average $7 per square foot triple net with 3% annual escalations. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Debt service coverage ratio was 5.55x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $393,000 or approximately 25.63 per square foot, with real estate taxes representing the largest line item.

Submarket Analysis

Employment growth is led by healthcare, logistics, education and professional services sectors. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 3-mile radius of the property is approximately $235,000 and has grown 4.6% annually.

Market vacancy for comparable Industrial product stands at 4.1%, down from 5.9% two years ago. Median household income within a 6-mile radius of the property is approximately $169,000 and has grown 12.6% annually. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. Rent growth in the submarket has averaged 6.4% annually over the past 4 years. Employment growth is led by healthcare, logistics, education and professional services sectors.

Income and Expense Review

The facility is located 3 miles from the interstate with access to a regional intermodal terminal. Effective gross income for the trailing period was $358,000, representing a 12.5% increase over the prior year. Debt service coverage ratio was 5.99x on a trailing basis against a covenant minimum of 1.20x. The building offers 47' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. In-place rents average $7 per square foot triple net with 3% annual escalations. The going-in capitalization rate of 5.87% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 5.13% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $338,000 or approximately 16.56 per square foot, with real estate taxes representing the largest line item. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period.

Demographics and Employment

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5240 Repairs - Appliances	$48,852	$47,970	$48,075	-$777	-1.6%	$9,615.02
5250 Painting & Decorating	$38,114	$40,194	$40,232	$2,118	5.6%	$8,046.48
5260 Flooring	$71,337	$72,624	$74,737	$3,400	4.8%	$14,947.39
5270 Make-Ready / Turnover	$45,633	$48,418	$50,375	$4,742	10.4%	$10,074.99
5280 Landscaping Contract	$97,136	$102,400	$108,827	$11,692	12.0%	$21,765.47
5290 Snow Removal	$32,074	$33,494	$34,440	$2,366	7.4%	$6,887.94
5300 Janitorial	$92,253	$97,651	$103,067	$10,813	11.7%	$20,613.37
5310 Pest Control	$33,542	$33,823	$35,900	$2,359	7.0%	$7,180.05
5320 Trash Removal	$16,143	$15,576	$15,778	-$365	-2.3%	$3,155.64
5330 Elevator Contract	$71,609	$74,198	$77,057	$5,447	7.6%	$15,411.35
5340 Fire & Life Safety	$87,398	$86,571	$87,793	$395	0.5%	$17,558.61
5350 Security	$70,685	$68,407	$70,333	-$352	-0.5%	$14,066.55
5360 Electricity - Common	$50,630	$51,530	$54,129	$3,499	6.9%	$10,825.85
5370 Gas - Common	$12,297	$11,445	$12,128	-$169	-1.4%	$2,425.62
5380 Water & Sewer	$29,431	$30,891	$31,129	$1,699	5.8%	$6,225.87
5390 Telephone/Internet	$76,312	$80,505	$80,949	$4,636	6.1%	$16,189.73
5400 Advertising	$78,095	$76,336	$80,016	$1,921	2.5%	$16,003.19
5410 Resident Events	$53,023	$54,541	$56,777	$3,755	7.1%	$11,355.49
5420 Office Supplies	$40,656	$39,565	$41,170	$514	1.3%	$8,233.92
5430 Legal & Professional	$18,578	$18,568	$19,379	$801	4.3%	$3,875.77
5440 Accounting & Audit	$65,132	$65,076	$65,200	$68	0.1%	$13,040.01
5450 Licenses & Permits	$7,586	$7,742	$8,082	$496	6.5%	$1,616.46
5460 Management Fee	$91,992	$88,143	$93,988	$1,995	2.2%	$18,797.54
5470 Property Insurance	$50,340	$49,596	$52,433	$2,093	4.2%	$10,486.56
5480 Real Estate Taxes	$93,539	$93,214	$95,168	$1,629	1.7%	$19,033.62
5490 Asset Management Fee	$66,379	$62,160	$64,479	-$1,900	-2.9%	$12,895.76
5500 Replacement Reserves	$92,388	$92,248	$96,170	$3,782	4.1%	$19,234.08
5510 Roof Repairs	$83,317	$82,232	$85,162	$1,845	2.2%	$17,032.36
5520 Parking Lot Repairs	$21,144	$20,546	$20,754	-$390	-1.8%	$4,150.84
5530 Signage	$25,822	$27,408	$28,514	$2,692	10.4%	$5,702.84
5540 Tenant Improvements	$60,274	$58,094	$61,508	$1,235	2.0%	$12,301.68
5550 Leasing Commissions	$23,816	$22,846	$23,392	-$423	-1.8%	$4,678.50
5000 Gross Potential Rent	$48,113	$44,832	$46,399	-$1,714	-3.6%	$9,279.80
5010 Loss to Lease	$55,805	$53,693	$55,996	$191	0.3%	$11,199.19
5020 Vacancy Loss	$30,796	$32,859	$33,831	$3,035	9.9%	$6,766.21
5030 Concessions	$52,069	$52,563	$52,956	$887	1.7%	$10,591.21
5040 Bad Debt	$67,200	$72,308	$74,325	$7,125	10.6%	$14,865.04
5050 Late Fees	$52,377	$55,105	$56,167	$3,790	7.2%	$11,233.34
5060 Utility Reimbursements	$96,695	$99,857	$101,518	$4,822	5.0%	$20,303.56
5070 Parking Income	$76,326	$72,977	$73,289	-$3,037	-4.0%	$14,657.78

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Business Plan Progress

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 6.2% on contributed capital.

Distributions to investors for the quarter were paid at an annualized rate of 7.5% on contributed capital. Projected levered IRR is 3.6% with an equity multiple of 1.8x over the hold period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The building offers 4' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Property Operations

The facility is located 5 miles from the interstate with access to a regional intermodal terminal. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Service requests are tracked through a work-order system with an average completion time of 25 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

The building offers 39' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 7 miles from the interstate with access to a regional intermodal terminal. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $7 per square foot triple net with 3% annual escalations.

Investment Overview

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. The facility is located 2 miles from the interstate with access to a regional intermodal terminal. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital.

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. In-place rents average $7 per square foot triple net with 3% annual escalations. Projected levered IRR is 10.9% with an equity multiple of 1.3x over the hold period.

Management Commentary

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. In-place rents average $7 per square foot triple net with 3% annual escalations. Service requests are tracked through a work-order system with an average completion time of 17 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. The building offers 45' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 3 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The facility is located 9 miles from the interstate with access to a regional intermodal terminal. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Investment Overview

Projected levered IRR is 7.0% with an equity multiple of 1.38x over the hold period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The building offers 16' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.6% on contributed capital.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Roof replacement - Bldg C	Life Safety	07/11/26	Q2 2026	$116,000	$54,461	Deferred
Lobby renovation	Building	01/02/23	Q1 2025	$71,000	$62,153	In progress
Fence replacement	Energy	05/20/26	Q2 2027	$596,000	$328,262	In progress
Door hardware	Building	09/05/26	Q3 2026	$369,000	$222,105	Approved
ADA compliance	Life Safety	01/25/24	Q1 2025	$435,000	$121,824	Complete
Storefront glazing	Energy	11/23/25	Q3 2026	$418,000	$86,532	In progress
LED lighting retrofit	Site	08/24/23	Q3 2027	$272,000	$62,754	Complete
Amenity renovation	Building	04/24/25	Q4 2026	$661,000	$674,977	Complete
Fire alarm panel upgrade	Building	07/17/26	Q1 2025	$483,000	$201,991	In progress
Parking lot resurfacing	Site	01/19/25	Q2 2026	$677,000	$534,005	In progress
LED lighting retrofit	Energy	10/03/24	Q3 2025	$795,000	$506,661	In progress
Elevator modernization	Energy	04/02/26	Q3 2025	$145,000	$22,906	Complete
Fence replacement	Interior	03/06/26	Q2 2027	$596,000	$527,410	Approved
ADA compliance	Building	02/03/24	Q1 2026	$748,000	$757,382	Bidding
Landscape / irrigation	Energy	01/14/26	Q1 2025	$23,000	$14,147	In progress
LED lighting retrofit	Interior	12/13/26	Q4 2026	$838,000	$435,823	Deferred
Parking lot resurfacing	Interior	07/30/25	Q3 2025	$399,000	$182,552	Complete
Lobby renovation	Interior	12/20/23	Q1 2026	$668,000	$65,782	Approved
Roof replacement - Bldg C	Site	03/13/24	Q1 2026	$605,000	$63,098	In progress
ADA compliance	Site	03/08/24	Q3 2025	$247,000	$211,084	Deferred
Pool resurfacing	Energy	12/11/25	Q4 2026	$304,000	$74,898	Approved
Pool resurfacing	Site	06/22/24	Q2 2025	$725,000	$610,344	In progress
Lobby renovation	Life Safety	06/25/26	Q1 2027	$166,000	$67,654	Approved
HVAC replacement	Building	01/07/24	Q2 2025	$65,000	$59,794	Bidding
Landscape / irrigation	Interior	02/06/23	Q4 2025	$493,000	$402,735	In progress
Elevator modernization	Energy	03/17/24	Q1 2027	$311,000	$84,005	In progress
LED lighting retrofit	Site	06/01/25	Q3 2026	$688,000	$551,396	Approved
Door hardware	Building	06/24/25	Q4 2026	$352,000	$347,095	Complete
LED lighting retrofit	Building	01/17/26	Q3 2025	$705,000	$419,224	In progress
Elevator modernization	Life Safety	03/03/23	Q3 2027	$23,000	$19,664	Complete
Exterior paint	Energy	04/04/23	Q2 2025	$62,000	$52,885	Bidding
Storefront glazing	Site	10/26/23	Q4 2025	$351,000	$347,600	Approved
Pool resurfacing	Building	03/28/26	Q4 2027	$623,000	$375,444	In progress
Elevator modernization	Building	02/10/24	Q4 2027	$494,000	$418,449	Bidding
Fence replacement	Site	01/23/24	Q4 2026	$632,000	$381,939	Deferred
Elevator modernization	Interior	12/18/23	Q4 2025	$141,000	$140,773	Complete
Fence replacement	Life Safety	11/30/26	Q3 2026	$68,000	$45,708	Bidding
Door hardware	Life Safety	06/11/25	Q2 2027	$99,000	$55,736	Bidding
Water heater replacement	Building	03/27/25	Q4 2025	$30,000	$20,968	Deferred
Amenity renovation	Interior	01/25/23	Q1 2027	$868,000	$195,727	Deferred
Exterior paint	Interior	05/17/25	Q4 2026	$507,000	$347,347	In progress
Roof replacement - Bldg A	Building	01/02/26	Q4 2026	$432,000	$381,668	Complete
Exterior paint	Life Safety	10/13/23	Q1 2025	$172,000	$75,314	Deferred

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